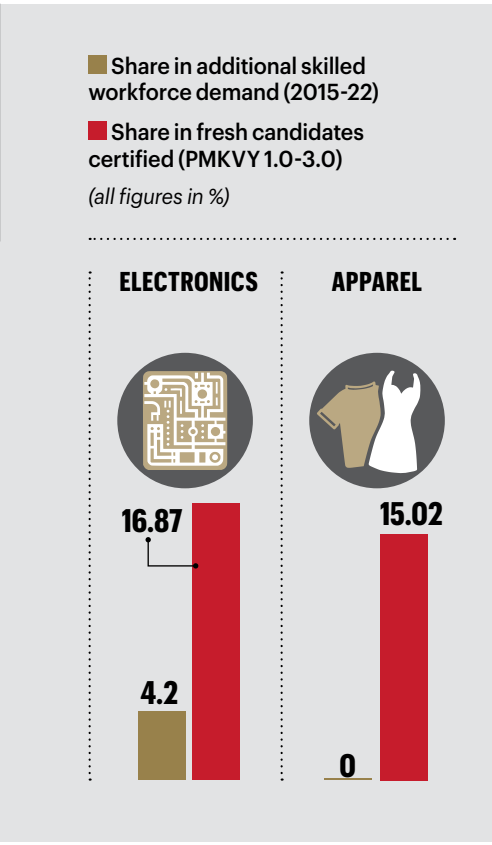


Aadhaar and bank accounts all spoke to each other at a national scale."

These challenges surfaced in payments systems as well. According to the CAG report, by October 2024, only 63.75 per cent of candidates certified under the second and third phases—6.1 million out of 9.6 million—had received their payouts through direct benefit transfer (DBT). Payments to the remaining certified candidates were pending due to incomplete or missing information. This was despite it being mandatory, at the time of enrolment for PMKVY on the Skill India portal, to fill a candidate's details, including a mobile number, bank account number and email address, to enable the Rs 500 incentive to be paid through DBT post certification. An analysis of PMKVY 2.0 and 3.0 data showed that in 94.5 per cent of cases, the bank account field contained zeros, 'null', 'N/A', or was left blank. The ministry told the CAG that although bank account information was initially mandatory, the requirement had to be relaxed because of implementation challenges.

THE PLANNING GAP

One of PMKVY's fundamental design weaknesses was its short planning horizon. Training targets were set year by year. Although the scheme was intended to run continuously, the CAG report says the ministry "did not prepare any long-term strategy or perspective plan". Under PMKVY 2.0 and 3.0, targets were allocated through a 'request for proposal' (RFP), inviting training providers (TPs) to submit plans approved later by a steering committee within the ministry. In principle, this ensured oversight; in practice, it created compressed timelines and uncertainty.

Vivek Singh, director at Delhi-based Indiavision Realty & Infrastructure, a TP in the construction sector, explains how this played out for TPs. While fund allocations were announced in the Union budget, targets and disbursals often arrived only by August, and sometimes as late as November. That left TPs with just 4–5 months to hire trainers, mobilise candidates and complete the training within that financial year.



"INDUSTRY UNDERSTANDS THE VALUE OF A SKILLED PERSON. SO INCENTIVES SHOULD GO BEYOND THE TOP COMPANIES DOWN TO MSMEs, THE LARGEST JOB GENERATORS, ENCOURAGING THEM TO BUILD SKILLING CAPACITY"

–VIVEK SINGH, Director, Indiavision Realty & Infrastructure

The stop-start cycle made sustained investment difficult. For nearly half the year, many centres had no work. Some responded by cutting corners: operating from rented premises and offering courses requiring minimal infrastructure. Trainers were often hired on short-term contracts of 2–3 months, a deterrent for experienced instructors. Courses were frequently offered based on candidate demand rather than industry needs simply to meet numerical targets. "We had invested nearly Rs 7 lakh in setting up a lab and were paying another Rs 1.2 lakh as rent. How does a genuine player sustain this?" the head of a training firm told INDIA TODAY.

The incentive structure reinforced these distortions. TPs are responsible not only for running centres and conducting courses but also for securing placements. Under PMKVY 2.0, payments to them were released in a 50:30:20 ratio linked to enrolment, certification and placement. This changed to 40:30:30 in the third phase—meaning much of the cost could be recovered before a trainee secured employment. "Training providers built their business models around enrolment and certification incentives, accepting that placement-linked payments might never come," says one provider.

JOB CONSTRAINTS

Not all TPs are equally well placed on placements—i.e. securing jobs for their trainees. In remote districts of Bihar or the Northeast, for instance, industry presence is limited. Most jobs lie in western and southern India. R.C.M. Reddy, MD and CEO of the pan-India vocational skills training firm Learnet Skills, says they managed a 70 per cent placement rate under PMKVY largely because skilling is their core business. "We first approach industry, understand job requirements, and only then start training," he says. "We don't begin programmes until we have jobs in hand." Even then, retaining candidates can be difficult. Because the training is free and candidates don't have their own money at stake, the slightest discomfort is often enough for them to